



FINANCING GUIDE / 02

SBA Financing

A practical guide to longer-term business financing for acquisitions, owner-occupied real estate, expansion, equipment, and other eligible business purposes.

SBA financing can be a strong option for established businesses and qualified buyers who need longer repayment periods or a financing structure tied to a major business transaction. The SBA does not simply replace lender underwriting; the lender still evaluates the borrower, business, transaction, cash flow, and eligibility.

FLS uses SBA financing primarily as a transaction-specific solution. Owner-occupied real estate, business acquisitions, partner buyouts, expansion, equipment, and qualifying refinance or working-capital needs may require different documentation and underwriting analysis.

Common use cases

- Purchase an operating business
- Purchase or refinance owner-occupied commercial real estate
- Finance an expansion or additional location
- Finance eligible equipment and business investment
- Complete a qualifying partner buyout
- Refinance eligible business debt when the transaction meets program requirements

HOW LENDERS LOOK AT IT

What typically drives the financing decision

Business cash flow

Historical tax returns, interim financial statements, revenue stability, existing debt, and projected debt service are central to many SBA transactions.

Borrower strength

Credit profile, management experience, liquidity, personal financial position, and ownership structure can affect the lender's view of the request.

Transaction structure

Purchase price, use of proceeds, equity injection, seller financing, collateral, real estate, and business valuation can all matter depending on the transaction.

Eligibility

The business, ownership, use of funds, industry, and transaction must fit applicable SBA and lender requirements.

PREPARING YOUR REQUEST

What to have ready

Requirements vary by program, but a complete and organized package helps FLS identify the right path and reduces unnecessary back-and-forth.

Business information

Three years of business tax returns when requested; current P&L; and balance sheet; business debt schedule; business plan and projections when applicable.

Personal information

Personal tax returns, personal financial statement, recent bank statements, and owner resume.

Transaction documents

Detailed use of funds; purchase contract or LOI for acquisitions or real estate; payoff information for refinance; affiliate-company information when applicable.

PROCESS

From request to funding

1 Define the transaction

Define the transaction and total project/use-of-funds need.

2 Review the request

FLS reviews the business, owners, cash flow, transaction structure, and available SBA paths.

3 Assemble the package

A preliminary package is assembled and routed to an appropriate SBA lending source.

4 Lender underwriting

The lender completes eligibility and credit underwriting and may request valuation, appraisal, environmental, legal, or other third-party items.

5 Approval & funding

Final approval, closing conditions, loan documents, and funding follow if the transaction is approved.

WHAT CAN STRENGTHEN THE REQUEST?

Complete financials, stable cash flow, relevant management experience, sufficient liquidity/equity, realistic projections, clean documentation, and a clearly supported purchase price or project budget can strengthen an SBA request.

Find the right sba financing path

FLS Capital Advisors works across multiple financing sources rather than forcing every request into one program. Answer a few questions about your business and financing objective, and a specialist will review the paths that may fit.

flscapitaladvisors.com/start Talk with a specialist: flscapitaladvisors.com/contact

General information only. This guide is intended for educational purposes and does not constitute an approval, commitment to lend, or guarantee of financing. Programs, eligibility, rates, fees, terms, collateral requirements, and documentation requirements vary by funding source and may change. Final eligibility and terms are determined by the applicable funding source after review of a complete application.